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California lawmakers approve $325 billion budget 'passed on hope' - The California Legislature has rejected many of the spending cuts Gov. Gavin Newsom is seeking to close a $12 billion budget deficit, relying on internal borrowing to put off difficult decisions.

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The California Legislature passed a state budget Friday that relies more on borrowing than spending cuts to close a projected $12 billion deficit, aiming to push off difficult decisions about priorities even as that gap is only expected to grow in future years.

The $325 billion legislative spending plan, which was approved by the Democratic majority along largely partisan lines, is something of a formality, because lawmakers are constitutionally required to pass a balanced budget by June 15 or forgo their pay.

Having rejected many of the cuts to social services that Gov. Gavin Newsom proposed last month to stabilize California's finances long-term, they must now negotiate a compromise in the coming weeks, with the July 1 start of the fiscal year looming.

The two sides remain billions of dollars apart, particularly on Medi-Cal, the state's health insurance program for the poor, as well as home health services, public transit, higher education and raises for state workers.

Democratic leaders said they want to delay painful cuts by a few years to give themselves more time to find another solution that doesn't "balance the budget on the backs of the most vulnerable" — and perhaps, as one lawmaker put it this week, wait for a "miracle" turnaround in California's economy.

"The worst outcome here, though, would be to make cuts that we ultimately realize we didn't need to make — to throw people off safety net programs and then come back and realize, you know what, the projections were off, that wasn't something that was necessary," Assemblyman Jesse Gabriel, the Encino Democrat who chairs the Assembly budget committee, told reporters after the vote. "We could be in a totally different world six months from now."

A major point of contention is Medi-Cal, which is driving a large portion of the deficit. The state expanded services significantly in recent years and costs are now rising faster than anticipated after more new patients enrolled than projected. Lawmakers allocated billions of dollars in additional funding to the program this spring to keep it solvent.

Newsom proposed major changes to address those structural issues, including freezing enrollment for adults living in the country illegally, who became newly eligible last year, as well as adding a $100 monthly premium and cutting long-term care and dental benefits for those who maintain their coverage. The governor also wants to eliminate coverage for weight loss drugs like Ozempic and reinstate a strict asset test for seniors, which was recently eliminated.

The Legislature has accepted some of those proposals, such as the enrollment freeze and stopping coverage of weight loss drugs, and scaled back others, including the asset test. Lawmakers want to lower the monthly premium for undocumented immigrants to $30, give those who lose their Medi-Cal coverage because they cannot pay it a chance to re-enroll, delay cutting their dental benefits and maintain their long-term care benefits.

Even that potential compromise has been anathema to some Democrats, who spoke out against what they deemed a "two-tiered health care system" during the floor debate, urging a no vote or asking the Legislature to instead consider raising taxes on billionaires.

"We cannot contribute to the fear and suffering of communities across our state, and I implore us to consider alternatives," said Assemblymember Celeste Rodriguez, an Arleta Democrat, who was nearly in tears as she told her colleagues that she was offended by the budget bill.

The legislative plan also rejects a Newsom proposal to cap overtime hours for in-home supportive service providers and eliminate those benefits for adults living in the country illegally.

It restores funding the governor had sought to eliminate for family planning clinics; the University of California, California State University and student financial aid; and public transit. It moves forward with $767 million in raises for state employees that Newsom asked to pause and introduces funding for other legislative priorities, including more than $900 million for affordable housing construction and mortgage assistance for first-time homebuyers. It proposes lending up to $1.75 billion from the state for local governments in Los Angeles and San Francisco Bay Area transit agencies dealing with their own budget crunches.

All of that would add billions of dollars in spending, next year and ongoing, above Newsom's plan — which already relies on shifting money meant to pay for climate projects and Medi-Cal provider reimbursements, and pulling $7.1 billion out of a rainy-day reserve fund to close the revenue gap. To pay for it, the Legislature seeks to borrow even more from state special funds.

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